

The Rational Basis of Trademark Protection

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THE RATIONAL BASIS OF TRADEMARK PROTECTION

“THERE is no part of the law which is more plastic than unfair competition, and what was not reckoned an actionable wrong 25 years ago may have become such today.”¹ “There is no fetish in the word ‘competition.’ The invocation of equity rests more vitally upon the unfairness.”² “Many earlier dicta, probably some earlier decisions, are not now safe guides.”³ These vigorous judicial expressions of impatience with the old theories of trademark protection are indicative of a desire to keep abreast of and to serve the needs of modern business. They reflect a consciousness of the need for breadth and liberality in coping with the progressive ingenuity of commercial depravity. But forward strides in trademark protection are being attained by appeals to “good conscience” and “judicial sensibilities” rather than to strictly legal principles derived from a critical analysis of the real tort involved. Those “judicial sensibilities,” however, are themselves predicated upon certain historical preconceptions as to the nature and function of a trademark and as to the necessities for its protection. It is with the present validity and practical implications of these preconceptions that this paper is concerned.

I

The orthodox definition of “the primary and proper function of a trademark” is that given by the Supreme Court of the United States in the leading case of *Hanover Star Milling Co. v. Metcalf*:

¹ *Ely-Norris Safe Co. v. Mosler Safe Co.*, 7 F. (2d) 603, 604 (C. C. A. 2d, 1925), *per* Learned Hand, J. See (1926) 26 COL. L. REV. 199; N. Y. L. J., Sept. 28, 1926, at 2068. The decision of the Circuit Court of Appeals was reversed, on a different construction of the pleadings, in 47 Sup. Ct. 314 (U. S. 1927).

² *Vogue Co. v. Thompson-Hudson Co.*, 300 Fed. 509, 512 (C. C. A. 6th, 1924), *per* Denison, J.

³ *Potter-Wrightington v. Ward Baking Co.*, 288 Fed. 597, 603 (D. Mass. 1923). See *International News Service v. Associated Press*, 248 U. S. 215, 240 (1918); *Margarete Steiff, Inc. v. Bing*, 215 Fed. 204, 206 (S. D. N. Y. 1914); *Havana Cigar & Tobacco Factories, Ltd. v. Oddenino*, 41 Rep. Pat. Cas. 47, 56 (1923). *Cf.* Haines, *Efforts to Define Unfair Competition* (1919) 29 YALE L. J. 1, 21.

“to identify the origin or ownership of the goods to which it is affixed.”⁴ The “origin or ownership” so designated by a trademark must be the “*personal* origin or ownership.”⁵ In order to test the adequacy of this definition, which has been used by the courts practically uniformly, with but the slightest variation of language and none of meaning,⁶ it will be necessary to consider very briefly the actual usages of trade as well as certain historical data, with which the present writer has dealt more thoroughly elsewhere.⁷

The modern trademark has two historical roots: (1) the proprietary mark, which was optionally but usually affixed to goods by the owner, either for the benefit of illiterate clerks or in order that in case of shipwreck or piracy the goods might be identified and reclaimed by the owner. This mark was essentially a merchant's rather than a craftsman's mark and had nothing to do with the source of production of the goods in question. (2) The regulatory production mark, which was compulsorily affixed to goods by statute, administrative order or municipal or guild regulation, so that defective work might be traced to the guilty craftsman and heavily punished, or that “foreign” goods smuggled into an area over which a guild had a monopoly might be discovered and confiscated. This mark was a true mark of origin, designating as it did the actual producer of the goods.

Four hundred years ago a trademark indicated either the origin or ownership of the goods to which it was affixed. To what extent does the trademark of today really function as either? Actually, not in the least! It has been repeatedly pointed out by the very courts that insist on defining trademarks in terms of ownership or origin that, owing to the ramifications of modern trade and the national and international distribution of goods from the manufacturer through the jobber or importer and the retailer to the consumer, the source or origin of the goods bearing a well known trademark is seldom known to the consumer.⁸ Over twenty years

⁴ 240 U. S. 403, 412 (1916).

⁵ See *Canal Co. v. Clark*, 13 Wall. 311, 324 (U. S. 1871); *Baglin v. Cusenier*, 221 U. S. 580, 591 (1911).

⁶ See authorities cited in SCHECHTER, *THE HISTORICAL FOUNDATIONS OF THE LAW RELATING TO TRADE-MARKS* (1925) 20.

⁷ *Ibid.* cc. I-V.

⁸ *McLean v. Fleming*, 96 U. S. 245 (1877); *Rouss v. Winchester Co.*, 300 Fed.

ago it was pointed out by the Circuit Court of Appeals for the Seventh Circuit that "we may safely take it for granted that not one in a thousand knowing of or desiring to purchase 'Baker's Cocoa' or 'Baker's Chocolate' know of Walter Baker & Co., Limited."⁹ The same fact has been noted concerning "Coca-Cola"¹⁰ and "Yorkshire Relish."¹¹ With regard to the latter mark, Lord Justice Lindley said:

"Persons may be misled and may mistake one class of goods for another, although they do not know the names of the makers of either. A person whose name is not known, but whose mark is imitated, is just as much injured in his trade as if his name was known as well as his mark. His mark, as used by him, has given a reputation to his goods. His trade depends greatly on such reputation. His mark sells his goods."¹²

A trademark may be affixed to goods by a manufacturer thousands of miles away from the consumer, or by an importer or jobber who has not manufactured but merely selected the goods and put them on the local market,¹³ or by a commission merchant who

706, 722-23 (C. C. A. 2d, 1924), *certiorari* denied, 266 U. S. 607 (1924); SCHECHTER, *op. cit. supra* note 6, at 149-50, and cases cited.

An experiment tried some years ago on employees of Cheney Bros. showed (1) that 66.6% of the employees tested, identified certain products by well known trademarks; but (2) that only 28.4% knew who made the products bearing these trademarks; and (3) that 37.7% knew what the trademarks of the firms in question actually were. While this represents the result of but a single experiment in a single place, there can be no doubt that it accords with common experience and that it illustrates the archaism involved in defining trademarks in terms of ownership or origin. See ADAMS, ADVERTISING AND ITS MENTAL LAWS (1922) 175-79.

⁹ *Walter Baker & Co., Ltd. v. Slack*, 130 Fed. 514, 518 (C. C. A. 7th, 1904). See ROGERS, GOOD WILL, TRADE-MARKS AND UNFAIR TRADING (1914) 68.

¹⁰ *Coca-Cola Co. v. Koke Co.*, 254 U. S. 143, 146 (1920).

¹¹ In *Birmingham Vinegar Brewery Co., Ltd. v. Powell*, [1897] A. C. 710, 715, it was said, *per* Lord Herschell: "In the present case it seems to me that 'Yorkshire Relish' meant the manufacture of a particular person. I do not mean that in the minds of the public the name of the manufacturer was identified, but that it meant a particular manufacture, and that when a person sold 'Yorkshire Relish,' as the defendants did, by selling it as 'Yorkshire Relish' and calling it 'Yorkshire Relish,' they represented to the public that it was that manufacture which was known as and by the name of 'Yorkshire Relish'."

¹² *Powell v. Birmingham Vinegar Brewery Co., Ltd.*, 13 Rep. Pat. Cas. 235, 250 (1896).

¹³ See *A. Bourjois & Co. v. Katzel*, 260 U. S. 689, 692 (1923); *Hughes v. Alfred H. Smith Co.*, 205 Fed. 302, 311 (S. D. N. Y. 1913); *Nelson v. Winchell &*

has not even selected the goods or rendered any service relating to them except to sell such as may have been sent to him by the owner.¹⁴ Moreover, during and since the Great War the mark of an alien enemy might be used by a purchaser from the Alien Property Custodian entirely without the consent, much less the co-operation, of the original owner of the trademark,¹⁵ and even though the mark may have been acquired through fraud or conspiracy of the purchaser and the Alien Property Custodian.¹⁶

Discarding then the idea that a trademark or tradename informs the consumer as to the actual source or origin of goods, what does it indicate and with what result? It indicates, not that the article in question comes from a definite or particular source, the characteristics of which or the personalities connected with which are specifically known to the consumer, but merely that the goods in connection with which it is used emanate from the same — possibly anonymous — source or have reached the consumer through the same channels as certain other goods that have already given the consumer satisfaction, and that bore the same trademark. A few years ago, Judge Learned Hand wrote with regard to "Shredded Wheat Biscuit":

"The plaintiff has at least shown that the public has become accustomed to regard its familiar wheat biscuit as emanating, if not from it by name, at least from a single, though anonymous, maker, and the second is as good for these purposes as the first. . . . Though the pub-

Co., 203 Mass. 75, 82, 89 N. E. 180, 183 (1909); Imperial Tobacco Co. of India, Ltd. v. Bonnan, 41 Rep. Pat. Cas. 441, 446 (1924). "In India for obvious reasons cases of 'importers' of trade-marks are more numerous than those of producers or manufacturers." SEN, *THE LAW OF MONOPOLIES IN BRITISH INDIA* (1922) 304; Ralli v. Fleming, 3 Ind. L. R. (Calcutta series) 417, 428 (1878).

¹⁴ Major Bros. v. Franklin & Son, 25 Rep. Pat. Cas. 406, 414 (1908).

¹⁵ 40 STAT. 411 (1917), U. S. COMP. STAT. (SUPP. 1919) §§ 3115¹₂ *et seq.*; Hicks v. Anchor Packing Co., 16 F. (2d) 723, 727 (C. C. A. 3d, 1926); Koppel Ind. Car & Equip. Co. v. Orenstein & Koppel, 12 F. (2d) 1009 (S. D. N. Y. 1926); Hunyadi Janos Corp. v. Stoeger, 10 F. (2d) 26 (C. C. A. 2d, 1925); American Bosch Magneto Corp. v. Robert Bosch Magneto Co., 127 Misc. 119, 215 N. Y. Supp. 387 (1926); In the Matter of Robert Bosch Aktiengesellschaft's Application, 43 Rep. Pat. Cas. 18 (1925).

¹⁶ United States v. Chemical Foundation, 47 Sup. Ct. 1, 5 (U. S. 1926); Munich Reins. Co. v. First Reins. Co., 6 F. (2d) 742, 749 (C. C. A. 2d, 1925); American Bosch Magneto Corp. v. Robert Bosch Magneto Co., *supra* note 15, at 123 *et seq.*, 215 N. Y. Supp. at 392 *et seq.*

lic may, therefore, buy the biscuit because it has come to like it, the plaintiff still has a stake in that other motive for buying; i.e., that it comes from the accustomed maker.”¹⁷

Superficially it may appear to be very fine hair-splitting to say that while the consumer does not know the specific source of a trademarked article, he nevertheless knows that two articles, bearing the same mark, emanate from a single source. However, the precise distinction is vital in the present connection, for it brings out clearly the creative and not merely symbolic nature of the modern trademark or tradename. The force of that distinction was strikingly illustrated in a very recent English case involving the application of one McDowell to register the trademark “Nuvol,” which was opposed by the Standard Oil Company, owners of the well known trademark “Nujol” on medicinal oil.¹⁸ It was the contention of the applicant that since the Standard Oil Company did not sell “Nujol” to the English public in their own name but through The Anglo-American Company, their agents there, the British public did not know the actual source of “Nujol.” Sir Duncan Kerly argued for the opponent that the fact that “Nujol” emanated from the Standard Oil Company was immaterial and that persons seeing “Nuvol” would assume that it came from the same source as “Nujol,” whatever the source of “Nujol” might be. Sir Duncan’s argument was pronounced as “very curious” and untenable by the lower court,¹⁹ but on appeal it was said by Lord Justice Warrington:

“ . . . The deception which I think the registration would be calculated to produce is that the two products emanate *from the same source*, and for the purposes of the present question it does not, in my opinion, matter whether the public do, or do not, know what that source is.”²⁰

¹⁷ Shredded Wheat Co. v. Humphrey Cornell Co., 250 Fed. 960, 963 (C. C. A. 2d, 1918). See also Saalfeld Pub. Co. v. Merriam Co., 238 Fed. 1, 8-9 (C. C. A. 6th, 1917); Bayer Co. v. United Drug Co., 272 Fed. 505, 509 (S. D. N. Y. 1921); Deering Harvester Co. v. Whitman & Barnes Mfg. Co., 91 Fed. 376, 380 (C. C. A. 6th, 1898); Hilton v. Hilton, 89 N. J. Eq. 149, 155, 102 Atl. 16, 18 (1917); CHAFEE, CASES ON EQUITABLE RELIEF AGAINST TORTS (1924) 120, n. 1.

¹⁸ In the Matter of McDowell’s Application, 43 Rep. Pat. Cas. 313 (1926). See comment in (1926) 21 T. M. BULL. (N. S.) 295.

¹⁹ In the Matter of McDowell’s Application, *supra* note 18, at 327.

²⁰ *Ibid.* at 337. Lord Justice Sargant likewise stated (at p. 339): “The public will be equally deceived for all practical purposes, if they merely identify or confuse

The true functions of the trademark are, then, to identify a product as satisfactory and thereby to stimulate further purchases by the consuming public. The fact that through his trademark the manufacturer or importer may "reach over the shoulder of the retailer" and across the latter's counter straight to the consumer²¹ cannot be over-emphasized, for therein lies the key to any effective scheme of trademark protection. To describe a trademark merely as a symbol of good will, without recognizing in it an agency for the actual creation and perpetuation of good will, ignores the most potent aspect of the nature of a trademark and that phase most in need of protection. To say that a trademark "is merely the visible manifestation of the more important business goodwill, which is the 'property' to be protected against invasion"²² or that "the good will is the substance, the trademark merely the shadow,"²³ does not accurately state the function of a trademark today and obscures the problem of its adequate protection. The signboard of an inn in stage-coach days, when the golden lion or the green cockatoo actually symbolized to the hungry and weary traveler a definite smiling host, a tasty meal from a particular cook, a

the producers of 'Nuvol' with the producers of 'Nujol,' whether they know the actual name of the producers of 'Nujol' or not."

²¹ The establishment of this connecting link has recently been referred to by Mr. H. G. Wells in *THE WORLD OF WILLIAM CLISSOLD* (Vol. I, p. 237): "In the days of our youth an enormous number of things were sold anonymously that are now sold under the brands of makers and packers. Our father had been one of the pioneers in this christening of goods with his Partington's Packet Teas. When I was a child every grocer had his own sorts of tea, his tea-chests with different qualities, and he weighed the tea out and packed it up for each customer. I can remember seeing that done. Almost everything he sold them—bacon, butter, lard, pickles, jams, biscuits—he sold from stocks of his own buying and his own individual reputation. He had pickled onions and cabbage in a great tub, as they still have them here in France. He used to display sugar-loaves in his window and chop them up in his shop; I would gaze fascinated at the sugar chopping in the Duxford's grocer's. And the oilman sold his own lamp oil, and no one asked where he got it. Mustard used to be bought for Mowbray at the chemist's. But even in our childhood there was already a number of vigorous firms *reaching their hands over the retail tradesman's shoulder, so to speak, and offering their goods in their own name to the customer.*" See also GOODALL, *ADVERTISING: A STUDY OF A MODERN BUSINESS POWER* (LONDON SCHOOL OF ECONOMICS MONOGRAPHS, No. 41, 1914) 47.

²² (1925) 35 YALE L. J. 115, 116.

²³ Rogers, *Comments on the Modern Law of Unfair Trade* (1909) 3 ILL. L. REV. 551, 555. See also, by the same author, *Predatory Price Cutting as Unfair Trade* (1913) 27 HARV. L. REV. 139, 144; Glenn, *Preemption in Connection with Unfair Trade* (1919) 19 COL. L. REV. 29, 32; (1919) 7 CALIF. L. REV. 201, 202.

favorite brew and a comfortable bed, was merely "the visible manifestation" of the good will or probability of custom of the house; but today the trademark is not merely the symbol of good will but often the most effective agent for the creation of good will, imprinting upon the public mind an anonymous and impersonal guaranty of satisfaction, creating a desire for further satisfactions. The mark actually *sells* the goods. And, self-evidently, the more distinctive the mark, the more effective is its selling power.

II

The protection of trademarks originated as a police measure to prevent "the grievous deceit of the people" by the sale of defective goods, and to safeguard the collective good will and monopoly of the gild.²⁴ The repression of trademark infringement came into the common law through an action of deceit²⁵ and, although it is the public rather than the owner of the trademark who is actually deceived, the common law trademark action is still deceit.²⁶ Equity, on the other hand, acting "in aid of" and "ancillary to" what it deemed to be a "*legal right*" to have a particular trademark,²⁷ at first assumed jurisdiction in such cases to protect the plaintiff's "title" to trademarks, regardless of the question of deceit.²⁸ Thus in the great case of *Millington v. Fox*, Lord Chancellor Cottenham stated: "Having previously come to the conclusion that there was sufficient in the case to show that the Plaintiffs had a title to the marks in question; . . . they undoubtedly had a right to the assistance of a court of equity to enforce that title."²⁹

However, subsequent decisions of the equity side indicated a shifting from the proprietary aspect of trademark protection to

²⁴ SCHECHTER, *op. cit. supra* note 6, cc. III-V.

²⁵ See Chafee, *Does Equity Follow the Law of Torts?* (1926) 75 U. OF PA. L. REV. 1, 25; SCHECHTER, *op. cit. supra* note 6, at 6 *et seq.*

²⁶ See cases cited in *ibid.* 10, 143.

²⁷ *Motley v. Downman*, 3 Myl. & C. 1, 14 (1837); *Farina v. Silverlock*, 39 Eng. L. & Eq. R. 514, 516 (1856); *Edelstein v. Edelstein*, 1 De G. J. & S. 185, 199-200 (1863). *Cf.* *Wesson v. Galef*, 286 Fed. 621, 622 (S. D. N. Y. 1922); *Scandinavia Belting Co. v. Asbestos & Rubber Works*, 257 Fed. 937, 942 (C. C. A. 2d, 1919). *Contra:* Chafee, *supra* note 25, at 25.

²⁸ *Millington v. Fox*, 3 Myl. & C. 338 (1838).

²⁹ *Ibid.* at 352.

practically the same basis as that of the common law — as is indicated in the oft-quoted dictum of Lord Langdale, uttered in 1842: “I think that the principle on which both the courts of law and of equity proceed is very well understood. A man is not to sell his own goods under the pretence that they are the goods of another man. . . .”³⁰ Equity did not continue the unqualified protection of trademarks in aid of a definite legal right of property but acted under the doctrine of “passing off” in England,³¹ or of unfair competition in the United States, which was in itself but “a development of the law of fraud. Its aim was simply to prevent the deceitful sale or passing off of goods made by one person or firm for goods made by another.”³² Contemporary professional testimony makes this point quite clear.³³ “The diversion of cus-

³⁰ *Perry v. Truefitt*, 6 Beav. 66, 73 (1842), cited or quoted in, e.g., *Leather Cloth Co. v. American Leather Cloth Co.*, 11 H. L. Cas. 523, 538 (1865); *Reddaway v. Banham*, [1896] A. C. 199, 209; *Havana Cigar & Tobacco Factories, Ltd. v. Oddenino*, *supra* note 3, at 55. Cf. *McLean v. Fleming*, *supra* note 8, at 255; *Hanover Star Milling Co. v. Metcalf*, *supra* note 4, at 413-14.

³¹ KERLY, *TRADE-MARKS* (5th ed. 1923) 13, 447, 562; 2 JENKS, *DIGEST OF ENGLISH CIVIL LAW* (2d ed. 1921) § 1674, n.

³² Watkins, *The Change in Trust Policy* (1922) 35 HARV. L. REV. 815, 831. See Coffin, *Fraud as an Element of Unfair Competition* (1903) 16 *ibid.* 272.

³³ In 1862 Parliament for the first time gave broad and general consideration to the subject of trademark protection through a committee appointed to examine and report upon various proposed trademark legislation. It is quite evident from the testimony before the committee that at that time the repression of common law frauds and cheats rather than the protection of industrial property was paramount in the mind of the legal profession and of the courts. Mr. William Hindmarch, an attorney of great experience in matters of trademark law, who, at the request of the Attorney General, had drafted one of the trademark statutes submitted to the committee, summarized “the existing law . . . relating to trade-marks” as follows: “I apprehend that the law at present in existence is a law to prevent cheats generally, and not merely to prevent the using or the pirating of trade-marks, which is an improper term, except in Hallamshire. The object of the common law is to prevent cheats, whether by the use of fraudulent marks, the forging of names, the using of wrappers of similar colour, or using perhaps a combination of contrivances by which one man represents his goods to be the goods of another; that is the sort of thing which it is the object of the law to put down. Sometimes when taking proceedings people have urged that they had acquired a right by user to some particular phrase, or expression, or name, or colour; but the courts have always said, more particularly the Court of Chancery, that they had no such right, and all that they had a right to was this, that no other man should by fraud represent his goods to be those of another. . . .” Report from the Select Committee on Trade-Marks Bill in Reports of Committees, 1862, 12 SESSION PAPERS, Q. Nos. 2611, 2727, 2749, 2752, 2757.

tom" is the gravamen of the action in either "passing off"³⁴ or "unfair competition."³⁵ The Supreme Court has held: "The essence of the wrong consists in the sale of the goods of one manufacturer or vendor for those of another. . . . This essential element is the same in trade-mark cases as in cases of unfair competition unaccompanied with trade-mark infringement."³⁶

Recent decisions both in this country and in England have extended the doctrine of "unfair competition" beyond cases where there is an actual "diversion of custom."³⁷ But the process has been one of making exceptions rather than of frank recognition of the true basis of trademark protection. No necessity or justification for the protection of marks on non-competing goods is seen except (1) where, while there is no actual diversion of trade, there is a likelihood of confusion as to the source of the infringing goods; (2) where the use of the infringing mark or name may work some discredit and financial liability or other *similar* concrete injury on the plaintiff.³⁸ Thus, a recent writer states: "Where there are no circumstances that would cause the public to think the products bearing the same name were made by the same party, no wrong is done. The classic example given in *Ainsworth v. Walsley*: 'If he does not carry on a trade in iron, but carries on a trade in linen and stamps a lion on his linen, another person may stamp

³⁴ *Society of Motor Manufacturers, etc., Ltd. v. Motor Manufacturers, etc. Ins. Co., Ltd.*, 42 Rep. Pat. Cas. 307, 319 (1925); *Harrods, Ltd. v. R. Harrod, Ltd.*, 41 Rep. Pat. Cas. 74, 75, 82 (1923).

³⁵ *American Steel Foundries v. Robertson*, 269 U. S. 372, 380 (1926); *Prestonettes, Inc. v. Coty*, 264 U. S. 359, 368 (1924); *Hanover Star Milling Co. v. Metcalf*, *supra* note 4, at 413-14; *United Drug Co. v. Rectanus Co.*, 248 U. S. 90, 97 (1918); *Libby, McNeill & Libby v. Libby*, 241 Mass. 239, 244, 135 N. E. 120, 122 (1922); *White Studio v. Dreyfoos*, 221 N. Y. 46, 48, 116 N. E. 796 (1917).

³⁶ *Hanover Star Milling Co. v. Metcalf*, *supra* note 4, at 412-13; and cases *supra* note 35.

³⁷ *Aunt Jemima Mills v. Rigney & Co.*, 247 Fed. 407 (C. C. A. 2d, 1917), *certiorari* denied, 245 U. S. 672 (1918); *Vogue Co. v. Thompson-Hudson Co.*, 300 Fed. 509 (C. C. A. 6th, 1924); *Beech-Nut Packing Co. v. P. Lorillard Co.*, 7 F. (2d) 967 (C. C. A. 3d, 1925), *certiorari* granted, 269 U. S. 551 (1926); *Wall v. Rolls-Royce of America*, 4 F. (2d) 333 (C. C. A. 3d, 1925); *Eastman Kodak Co. v. Kodak Cycle Co.*, 15 Rep. Pat. Cas. 105 (1898); *Walter v. Ashton*, [1902] 2 Ch. 282; *Society of Motor Manufacturers, etc., Ltd. v. Motor Manufacturers, etc. Ins. Co., Ltd.*, *supra* note 34, commented on in (1926) 2 CAMB. L. J. 396; *Harrods, Ltd. v. R. Harrod, Ltd.*, *supra* note 34.

³⁸ See (1925) 38 HARV. L. REV. 370; (1925) 25 COL. L. REV. 199.

a lion on iron,'³⁹ is still the law."⁴⁰ This conclusion that "no wrong is done" is based upon an archaic notion of the function of a trademark as solely indicating "source or origin." It assumes that "the elementary equitable principle upon which the whole law of this subject is based . . . is that one may not palm off his goods as the goods of another"⁴¹ and that the sole injury resulting from the use of the same "lion" mark on linen and iron might be a confusion as to the source of these two dissimilar products. It ignores the fact that the *creation and retention of custom*, rather than the designation of source, is the primary purpose of the trademark today, and that the preservation of the uniqueness or individuality of the trademark is of paramount importance to its owner.

The doctrine that the same trademark may be used on different classes of goods, recently restated by the Supreme Court,⁴² is said to be related to the cardinal principle that "there is no property in a trade-mark apart from the business or trade in connection with which it is employed." But why does a limitation of the protection of trademarks to goods of the same class logically and necessarily follow from the rule that there is no property in a trademark *in gross*? The latter rule is based upon a consideration of public policy, namely, that a man should not develop a trademark as a guaranty of the quality of his merchandise and then sell or "farm out" the use of that mark apart from his business to those who may sell a vastly inferior product under his mark.⁴³ This salutary principle, which has its roots, not in the common law, but in earlier "guild jurisprudence," was already enforced for precisely that reason over three hundred years ago by the cutlers of London, who, in 1624, ordained that: "No man from hensforth shall have a proper marcke vnlesse he be a forger and be able of him self to fforge & temper his stuf as a worckman sholde do."⁴⁴

³⁹ L. R. 1 Eq. 518, 524-25 (1866), evidently adopting a similar statement in *Hall v. Barrows*, 4 De G. J. & S. 150, 158 (1863).

⁴⁰ Lukens, *The Application of the Principles of Unfair Competition to Cases of Dissimilar Products* (1927) 75 U. OF PA. L. REV. 197, 198. ⁴¹ *Ibid.* 205.

⁴² *American Steel Foundries v. Robertson*, *supra* note 35. That case arose on a question of construction of the Trade-Mark Act (see (1926) 21 T. M. BULL. (N. S.) 37), but the decision is squarely based upon general considerations of the law of trademarks and of unfair competition, and treats trademarks and trade-names upon the same basis. Cf. *Ball v. Broadway Bazaar*, 194 N. Y. 429, 435, 87 N. E. 674, 676 (1909).

⁴³ See (1926) 35 YALE L. J. 496.

⁴⁴ 2 WELCH, HISTORY OF THE CUTLERS OF LONDON (1923) 344. See SCHECHTER,

However, this rule that a trademark must be appurtenant to a going concern should not in any way set limits to the extent of protection of such a mark when so appurtenant. Quite apart from the destruction of the uniqueness of a mark by its use on other goods, which will be discussed later on, once a mark has come to indicate to the public a constant and uniform source of satisfaction, its owner should be allowed the broadest scope possible for "the natural expansion of his trade" to other lines or fields of enterprise. This point was demonstrated with particular acuteness after the Great War in the case of such firms as The Remington Arms Company, The Winchester Repeating Arms Company and the Dupont Company, which were under the immediate necessity of transferring their activities from the manufacture of war material to peace industries of an entirely different nature but under the same trademarks and names.⁴⁵ Under the "source or origin" theory of a function of a trademark, and the vague doctrine of "related goods," courts are still giving a most literal and rigid construction to the phrases "of the same class" or "of the same descriptive qualities." Thus bread and flour,⁴⁶ pancake flour and syrup⁴⁷ are in the same class, while, on the other hand, "straight" wheat flour and "prepared flours" — such as "pancake flour"⁴⁸ — are declared not to be of the same "class of commodities." Chewing gum, held to be a "food," and chewing tobacco, held to be a "narcotic,"⁴⁹ ice cream and milk,⁵⁰ cheese and butter⁵¹ are likewise found not of different classes. An equally

op. cit. supra note 6, at 111. The elaborate system of property in and registration of marks, particularly in the cutlery trade, and to a lesser degree in the pewter and cloth industries, worked out by "guild jurisprudence" and administrative law in the sixteenth and seventeenth centuries, at least three hundred years before the common law and equity at all considered the notion of property in trade symbols, is described in *ibid.* cc. III-V.

⁴⁵ Hearings before the Committee on Patents on H. R. 7157, 66th Cong. 2d Sess., at 4-5, 11-12.

⁴⁶ *Ward Baking Co. v. Potter-Wrightington*, 298 Fed. 398 (C. C. A. 1st, 1924). *Cf. H. H. Macy Co., Inc. v. Manbeck Packing Co.*, 351 O. G. Pat. Off. 441 (1926).

⁴⁷ *Aunt Jemima Mills v. Rigney & Co.*, *supra* note 37.

⁴⁸ *France Milling Co. v. Washburn-Crosby Co.*, 7 F. (2d) 304, 305 (C. C. A. 2d, 1925), commented on in (1925) 34 *YALE L. J.* 115.

⁴⁹ *Beech-Nut Packing Co. v. P. Lorillard Co.*, *supra* note 37, commented on in (1926) 12 *VA. L. REV.* 337.

⁵⁰ *Borden Ice Cream Co. v. Borden's Condensed Milk Co.*, 201 Fed. 510 (C. C. A. 7th, 1912).

⁵¹ *Lawrence v. Sharpless Co.*, 203 Fed. 762, 764 (E. D. Pa. 1913). *Cf. W. A. Lawrence & Son v. Licking Creamery Co.*, 206 O. G. Pat. Off. 589 (1914).

apparent failure of the courts to keep pace with the necessities of trade and the functional development of trademarks, and a corollary to the principle that "if there is no competition, there can be no unfair competition,"⁵² is the rule that a trademark or tradename is only coextensive with its use and may be used by different firms in different localities. To hold that Boston and Providence markets do not extend to Worcester, New Haven and Woonsocket,⁵³ that a nationally known chain of theatres, with a branch in Boston, did not extend its market, or rather its audience, to Lynn, Lawrence, Portland or Fitchburg,⁵⁴ or that plaintiff's stores in Northern New Jersey could not enjoin the use of plaintiff's tradename in Southern New Jersey at points twenty to thirty miles away,⁵⁵ ignores the necessities of the chain type of organization with which the United States has been covered in recent years.⁵⁶ Furthermore, such decisions, based upon an antiquated neighborhood theory of trade, fail to recognize the fact that through the existence of the telephone, the automobile, the motor bus, the high-speed interurban trolley, and the railroad, the consumer now projects his shopping far from home and comes to rely more and more upon trademarks and tradenames as symbols of quality and guaranties of satisfaction.

III

We have seen that the proper expansion of trademark law has been hampered by obsolete conceptions both as to the function of a trademark and as to the need for its protection. Commencing

⁵² *Carroll v. Duluth Superior Milling Co.*, 232 Fed. 675, 681-82 (C. C. A. 8th, 1916); *Nat. Picture Theatres v. Foundation Film Corp.*, 266 Fed. 208, 211 (C. C. A. 2d, 1920); *Samson Cordage Works v. Puritan Cordage Mills*, 211 Fed. 603, 608 (C. C. A. 6th, 1914); *Borden Ice Cream Co. v. Borden's Condensed Milk Co.*, *supra* note 50, at 514; *Nat. Grocery Co. v. Nat. Stores Corp.*, 95 N. J. Eq. 588, 593, 123 Atl. 740, 742 (1924); *Crump Co. v. Lindsay*, 130 Va. 144, 156, 107 S. E. 679, 682 (1921).

⁵³ *Kaufman v. Kaufman*, 223 Mass. 104, 111 N. E. 691 (1916).

⁵⁴ *Loew's Boston Theatres Co. v. Lowe*, 248 Mass. 456, 143 N. E. 496 (1924).

⁵⁵ *Nat. Grocery Co. v. Nat. Stores Co.*, *supra* note 52, *aff'd*, 97 N. J. Eq. 360, 127 Atl. 925 (1925).

⁵⁶ See (1925) 38 HARV. L. REV. 839; (1925) 3 TEX. L. REV. 300; (1926) 4 *ibid.* 541; *Sweet Sixteen Co. v. Sweet "16" Shop, Inc.*, 15 F. (2d) 920 (C. C. A. 8th, 1926).

with the assumption that a trademark designates either origin or ownership — in other words, source — the law, even in its most liberal interpretation at the present time, will prevent the misuse of that mark only where there is an actual confusion created by such misuse, resulting in either diversion of trade or other concrete financial liability or injury to trade repute. However, we have intimated the possibility that the use of trademarks on entirely non-related goods may of itself concretely injure the owner of the mark even in the absence of those elements of damage noted above. If so, what is the injury, and to what extent, if any, should the law take cognizance of such injury?

Trademark pirates are growing more subtle and refined. They proceed circumspectly, by suggestion and approximation, rather than by direct and exact duplication of their victims' wares and marks. The history of important trademark litigation within recent years shows that the use of similar marks on *non*-competing goods is perhaps the *normal* rather than the exceptional case of infringement. In the famous English *Kodak* case, cameras and bicycles were the articles in question; in the *Aunt Jemima's* case, pancake flour and syrup; in the *Vogue* case, fashion magazines and hats; in the *Rolls-Royce* case, automobiles and radio parts; in the *Beech-Nut* case, food products and cigarettes.⁵⁷ In each instance the defendant was not actually diverting custom from the plaintiff, and where the courts conceded the absence of diversion of custom they were obliged to resort to an exceedingly laborious spelling out of other injury to the plaintiff in order to support their decrees. The real injury in all such cases can only be gauged in the light of what has been said concerning the function of a trademark. It is the gradual whittling away or dispersion of the identity and hold upon the public mind of the mark or name by its use upon non-competing goods. The more distinctive or unique the mark, the deeper is its impress upon the public consciousness, and the greater its need for protection against vitiation or dissociation from the particular product in connection with which it has been used. At the present time the courts, misconstruing, as we have pointed out above, the rule that a trademark can only be used as appurtenant to a going business, are unwilling to base their protection of trademarks squarely upon this principle that "the value

⁵⁷ These cases are cited *supra* note 37.

of the plaintiff's symbol depended in large part upon its uniqueness." ⁵⁸

On the other hand it is possible that as in so many other phases of legal history the courts may arrive at this result by indirection, *i.e.*, by the distinction which, beginning with the "Blue Ribbon" trademark, ⁵⁹ is gradually but surely being drawn between common or semi-descriptive marks or names on the one hand, and arbitrary or fanciful trademarks or tradenames on the other. Concerning commonplace marks, the Supreme Court of the United States has recently held that the refusal of the Commissioner of Patents to allow the registration of the mark "Simplex" for brake heads, brake beams, brake shoes, etc., on the ground that the same mark had been registered on insulating wire, was erroneous. The Court pointed out that the word "Simplex" has comprised the whole or a part of trademarks registered in the Patent Office in approximately sixty registrations by nearly as many different parties and applied to so diversified a variety of products as windows, wire, concrete piling, golf practice machines, letter openers, air brakes, ink and buttons. ⁶⁰ The same thought has been forcefully expressed by Circuit Judge Hough concerning the phrase "Gold Medal":

⁵⁸ (1925) 25 COL. L. REV. 199, 204. In *Three-In-One Oil Co. v. Lobl Mfg. Co. & Boston Brass Co.*, 151 M. D. 243, 248, 16 T. M. Rep. 411, 413 (1926), Moore, A. C., squarely rejected this reasoning, stating: "The contention that the use of the mark by another, 'even for another class of goods,' would be calculated to rob the mark of its distinctive character and quality and cause the mark to become common-place, could be made in every case in which the same mark is registered by different parties upon goods having different descriptive properties, and if sustained would result in but a single registration for each mark. This is not the law." *Cf.* Hearings before the Committee on Patents, *supra* note 45, at 15.

⁵⁹ *Anheuser-Busch, Inc. v. Budweiser Malt Products Corp.*, 287 Fed. 243, 247 (S. D. N. Y. 1921); *Pabst Brewing Co. v. Decatur Brewing Co.*, 284 Fed. 110, 112 (C. C. A. 7th, 1922); *Nat. Commodities Co. v. Viret*, 296 Fed. 664, 666 (C. C. A. 2d, 1924); *Cal. Packing Corp. v. Halferty*, 295 Fed. 229, 232 (Ct. of App. D. C. 1924).

⁶⁰ *American Steel Foundries v. Robertson*, *supra* note 35. "The word involved in this case," said the court, "is one of a large class of words which have for a great many years been much used because of their peculiarly suggestive meaning. For other examples there are the words 'Acme,' 'Anchor,' 'Champion,' 'Eureka,' 'Excelsior,' 'Ideal,' 'Jewel,' 'Liberty,' 'National,' 'Pride,' 'Premier,' 'Queen,' 'Royal,' 'Star,' 'Sunlight,' 'Triumph,' 'Victor.'" *Ibid.* at 383-84, quoting from *Simplex Elec. Heating Co. v. Ramey Co.*, Dec. Com. (1916).

"The phrase 'Gold Medal' is distinctly not in the same class of original, arbitrary, or fanciful words as 'Kodak' and 'Aunt Jemima.' It is a laudatory phrase, suggestive of merit, recognized by some organization of authority awarding a prize. It is only allied to some particular business or person by insistent, persistent advertising . . . there is nothing original about the name per se; it is exactly like the phrase 'Blue Ribbon,' and has been as extensively and variously applied. One who devises a new, strange, 'catching' word to describe his wares may and often has by timely suit prevented others from taking his word or set of words to gild the reputation of even wholly different goods . . . ; but one who takes a phrase like 'Blue Ribbon' or 'Gold Medal' must be content with that special field which he labels with so undistinctive a name."⁶¹

In contrast with the narrow protection given to semi-descriptive or laudatory marks, such as "Simplex," "Blue Ribbon" and "Gold Medal" is the still more recent protection of the coined mark "Duro" on pneumatic pressure systems against registration on wall board.⁶² The court, admitting the two products to be "technically different," paid its formal allegiance to the old rule of related goods by pointing out that "both are used in residences." But the court went further, and in its decision we find the first intimation that the possibility of vitiation of identity of a mark should in itself constitute the basis of relief:

"In the present case, when the California Cedar Products Company adopted the word 'Duro' as its trade-mark, that word had 'become so identified with the particular corporation' (the Duro Company) that, whenever used, it designated to the mind 'that particular corporation.' While the descriptive properties of the products of the two companies are technically different, both are used in residences, and under the evidence, we are constrained to the view that their concurrent use would tend to confusion of the identity of the Duro Company. *If the California Cedar*

⁶¹ *France Milling Co. v. Washburn-Crosby Co.*, *supra* note 48, at 306. See also *Pease v. Scott County Milling Co.*, 5 F. (2d) 524, 525 (E. D. Mo. 1925): "The ruled cases disclose two lines of decision: A narrow rule of protection in a case wherein the trade-mark in dispute has been, as here [*i.e.*, Noxall], registered under the statute for some 30 times as a trade-mark, for as many different products, and has also been used as a common-law trade-mark as to some 20 other products . . . and a broad line of protection, where the common-law trade-mark or trade-name, or statutory trade-mark, is original or distinctive. . . ."

⁶² *Duro Pump & Mfg. Co. v. Cal. Cedar Products Co.*, 11 F. (2d) 205 (Ct. of App. D. C. 1926), *per* Robb, J.

Products Company were permitted to use this mark, which has come to represent the Duro Company and its product to the public, other companies likewise might use it, with resultant loss of identity of the Duro Company."⁶³

The rule that arbitrary, coined or fanciful marks or names should be given a much broader degree of protection than symbols, words or phrases in common use would appear to be entirely sound. Such trademarks or tradenames as "Blue Ribbon," used, with or without registration, for all kinds of commodities or services, more than sixty times;⁶⁴ "Simplex" more than sixty times;⁶⁵ "Star," as far back as 1898, nearly four hundred times;⁶⁶ "Anchor," already registered over one hundred fifty times in 1898;⁶⁷ "Bull Dog," over one hundred times by 1923;⁶⁸ "Gold Medal," sixty-five times;⁶⁹ "3-in-1" and "2-in-1," seventy-nine times;⁷⁰ "Nox-all," fifty times;⁷¹ "Universal," over thirty times;⁷² "Lily White" over twenty times;⁷³ — all these marks

⁶³ *Ibid.* at 206. (Italics ours.) *Cf.* *Yale Elec. Corp. v. Yale & Towne Mfg. Co.*, 12 F. (2d) 183, 184 (Ct. of App. D. C. 1926), citing the Duro decision and holding that registration of "Yale" on locks and keys precluded another's registration of "Yale" on batteries and flashlights, since both "are in part sold in the same trade."

⁶⁴ *Pabst Brewing Co. v. Decatur Brewing Co.*, *supra* note 59.

⁶⁵ *American Steel Foundries v. Robertson*, *supra* note 35.

⁶⁶ REPORT OF COMMISSIONERS TO REVISE STATUTES RELATING TO PATENTS, TRADE-MARKS, ETC. (1902) 110-11.

⁶⁷ *Ibid.* 111.

⁶⁸ Joint Hearings before the Committee on Patents on S. 2679, 68th Cong. 2d Sess., at 145.

⁶⁹ *France Milling Co. v. Washburn-Crosby Co.*, *supra* note 48. In England it has been held that "Prize Medal Oils" did not represent "any one person's goods," since thirty different persons had been awarded prize medals in various oils. *Batty v. Hill*, 1 H. & M. 264, 270 (1863).

⁷⁰ *Three-In-One Oil Co. v. Lobl Mfg. Co. & Boston Brass Co.*, *supra* note 58. See list of registrations in supplemental decision in *Three-In-One Oil Co. v. Boston Brass Co.*, Com. Dec., July 12, 1926.

⁷¹ *Pease v. Scott County Milling Co.*, *supra* note 61.

⁷² See (1926) 21 T. M. BULL. (N. S.) 164.

⁷³ See *R. H. Macy & Co. v. N. Y. Grocery Co.*, 276 O. G. Pat. Off. 596 (1920), *rev'd* on other grounds, 267 Fed. 749 (Ct. of App. D. C. 1920). Other examples are "Palm Beach" (*Nat. Commodities Co. v. Viret*, *supra* note 59); "Palm" (*Goodall Worsted Co. v. Palm Knitting Co.*, 10 F. (2d) 1013 (Ct. of App. D. C. 1926)); "Century" (*Century Elec. Co. v. Thomson-Diggs Co.*, 13 T. M. Rep. 340 (Com. Dec. 1923)); "Diamond" (*Booth Fisheries Co. v. Adam & Sons Grocer Co.*, 10 F. (2d) 1007 (Ct. of App. D. C. 1926)); "Lincoln" (*Lincoln Motor Co. v. Lincoln Products Co.*, 151 M. D. 226 (Com. Dec.), 16 T. M. Rep. 409 (1926); *Lincoln Motor Co. v. Lincoln Mfg. Co.*, 151 M. D. 224 (Com. Dec.),

and names have, at this late date, very little distinctiveness in the public mind, and in most cases suggest merit, prominence or other qualities of goods or services in general, rather than the fact that the product or service, in connection with which the mark or name is used, emanates from a particular source. On the other hand, "Rolls-Royce,"⁷⁴ "Aunt Jemima's,"⁷⁵ "Kodak,"⁷⁶ "Mazda,"⁷⁷ "Corona,"⁷⁸ "Nujol,"⁷⁹ and "Blue Goose,"⁸⁰ are coined, arbitrary or fanciful words or phrases that have been added to rather than withdrawn from the human vocabulary by their owners, and have, from the very beginning, been associated in the public mind with a particular product, not with a variety of products, and have created in the public consciousness an impression or symbol of the excellence of the particular product in question. Should the rule, still broadly enunciated by the Supreme Court, that a trademark may be used on different classes of goods,⁸¹ be literally adhered to,

16 T. M. Rep. 411 (1926)); "Victor" (Victor Stove Co. v. Hall-Neal Furnace Co., 151 M. D. 306, 308 (Com. Dec.), 16 T. M. Rep. 541 (1926)); "Cavalier" (Lord & Taylor v. Kaufman Department Stores, Inc., *United States Daily*, Feb. 28, 1927 (Com. Dec.)); "Peerless" (see DIRECTORY OF BRANDED TEXTILE MERCHANDISE (1926) 446-47); and possibly "Ford" (Ford Motor Co. v. John A. McAdoo, 151 M. D. 253 (Com. Dec.), 16 T. M. Rep. 404, 405 (1926). But see *contra*: Ford Motor Co. v. Floyd, 151 M. D. 337 (Com. Dec.), 16 T. M. Rep. 535 (1926); Ford Motor Co. v. Cady Co., Inc., 124 Misc. 678, 681, 208 N. Y. Supp. 574 (1925), *aff'd*, 216 App. Div. 786, 214 N. Y. Supp. 838 (1926). In the case last cited "Ford" was held to be a "coined" word).

⁷⁴ Wall v. Rolls-Royce of America, *supra* note 37.

⁷⁵ Aunt Jemima Mills v. Rigney & Co., *supra* note 37.

⁷⁶ Eastman Kodak Co. v. Kodak Cycle Co., *supra* note 37; In the Matter of Trade Marks of Kodak, Ltd., 20 Rep. Pat. Cas. 337, 349 (1903); Kodak, Ltd. v. Thomas Illingworth & Co., Ltd., 43 Rep. Pat. Cas. 33 (1926). But see Eastman Kodak Co. v. Kodel Mfg. Co., 349 O. G. Pat. Off. 717 (1926). For other English and continental "Kodak" decisions, see (1923) 18 T. M. BULL. (N. S.) 267; (1924) 19 *ibid.* 105.

⁷⁷ Anglo-American Incandescent Light Co. v. Gen. Elec. Co., 43 App. D. C. 385 (1915).

⁷⁸ Havana Cigar & Tobacco Factories, Ltd. v. Oddenino, 41 Rep. Pat. Cas. 47, 61 (1923).

⁷⁹ In the Matter of McDowell's Application, *supra* note 18, at 333. Compare a Chilean decision to the same effect in (1925) 20 T. M. BULL. (N. S.) 325.

⁸⁰ American Fruit Growers, Inc. v. John Braadland, Ltd., 151 M. D. 239, 16 T. M. Rep. 409 (1926). In that decision, Kinnan, A. C., held that: "A broader protection will be granted where a purely fanciful mark has been adopted, used and given wide publicity than where some words in ordinary use are adopted in a phrase which is commonplace and somewhat suggestive."

⁸¹ American Steel Foundries v. Robertson, *supra* note 35.

there is not a single one of these fanciful marks which will not, if used on different classes of goods, or to advertise different services, gradually but surely lose its effectiveness and unique distinctiveness in the same way as has "Star," "Blue Ribbon," or "Gold Medal." If "Kodak" may be used for bath tubs and cakes, "Mazda" for cameras and shoes, or "Ritz-Carlton" for coffee,⁸² these marks must inevitably be lost in the commonplace words of the language, despite the originality and ingenuity in their contrivance, and the vast expenditures in advertising them which the courts concede should be protected to the same extent as plant and machinery.⁸³ Or, to illustrate from the animal kingdom, and to return to "the classical example" of the "lion" on linen and iron, the lion being a timeworn and commonplace symbol of regal or superb quality, it has not become associated in the public mind with the excellence of any single product, hence its use on various products, such as linen and iron, in no way impairs its individuality. On the other hand, a firm of fruitgrowers has recently popularized as its mark another animal of no well known or commonplace characteristics, the "blue goose." When the public hears or sees the phrase "Blue Goose" it thinks, not of "a North American wild goose having a grayish plumage resembling that of the young snow goose found chiefly during its migrations in the Mississippi Valley," but of oranges or grapefruit with a certain trademark and certain meritorious qualities.⁸⁴ This entirely arbitrary symbol would soon lose its arresting uniqueness and hence its selling power if it could also be used on pianos, shaving cream, and fountain pens.

IV

From the necessities of modern trademark protection mentioned above, on the one hand, and from the decisions emphasizing the greater degree of protection to be given to coined, rather than to commonplace marks, the following principles necessarily emerge:

⁸² See *Ritz-Carlton Restaurant & Hotel Co. v. Independent Grocers' Corp.*, N. Y. Sup. Ct., reported in N. Y. L. J., Oct. 16, 1922, at 183, *aff'd*, 206 App. Div. 605, 198 N. Y. Supp. 944 (1923).

⁸³ See *Rosenberg Bros. & Co. v. Elliott*, 7 F. (2d) 962, 965 (C. C. A. 3d, 1925); *Hilson Co. v. Foster*, 80 Fed. 896, 897 (S. D. N. Y. 1897); *SCHUCHTER*, *op. cit.* *supra* note 6, at 167, n. 3.

⁸⁴ See *supra* note 80.

(1) that the value of the modern trademark lies in its selling power; (2) that this selling power depends for its psychological hold upon the public, not merely upon the merit of the goods upon which it is used, but equally upon its own uniqueness and singularity; (3) that such uniqueness or singularity is vitiated or impaired by its use upon either related or non-related goods; and (4) that the degree of its protection depends in turn upon the extent to which, through the efforts or ingenuity of its owner, it is actually unique and different from other marks.

Our conclusion that the preservation of the uniqueness of a trademark should constitute the only rational basis for its protection is fortified by the doctrine that has developed within recent years in German law on this same point. In 1905 it was held by the Supreme Court at Hamburg that the owners of the "Kodak" mark for cameras were not entitled to cancel the registration of the same mark for bath tubs, the reasoning of the court being the same that would normally have been given by our own courts under similar circumstances, *viz.*, that bath tubs would not be believed by the public to have come from the Kodak Company.⁸⁵ The application for cancellation was brought under Section 826 of the German Civil Code which provides that: "one who designedly injures another in a manner violating good morals [*gegen die guten Sitten*] is bound to indemnify the other for the injury."⁸⁶ However, in 1924 practically the same question was submitted to another German court (the *Landesgericht* at Elberfeld) by the owners of the well-known trademark "Odol" for mouth wash, who sought to obtain the cancellation of the registration of that same mark for various steel products. The court held that the use of the mark "Odol" even on non-competing goods was "*gegen die guten Sitten*," pointing out that, when the public hears or reads the word "Odol," it thinks of the complainant's mouth wash, and that an article designated with the name "Odol" leads

⁸⁵ (1924) 19 T. M. BULL. (N. S.) 105.

⁸⁶ CIVIL CODE OF THE GERMAN EMPIRE (Loewy's translation, 1909) 203. Cf. SCHUSTER, THE PRINCIPLES OF THE GERMAN CIVIL LAW (1907) § 287, p. 340. For the German law of unfair competition, see DAVIES, TRUST LAWS AND UNFAIR COMPETITION (1916) 627-63; Hirschfield, *Unfair Competition in Germany* (1900) 2 J. SOC. COMP. LEG. (N. S.) 73; Iselin, *The New German Law of Unfair Competition* (1897) 13 L. Q. REV. 156; Notz, *New Phases of Unfair Competition* (1921) 30 YALE L. J. 384, 391.

the public to assume that it is of good quality. Consequently, concludes the court, complainant has "the utmost interest in seeing that its mark is not diluted [*verwässert*]: it would lose in selling power if everyone used it as the designation of his goods":

"The respondent has registered the mark for its steel goods for the obvious purpose of deriving from its selling power some advantage in marketing its own products. There are, of course, numerous euphonious words that the respondent could have used as the symbol of its goods; it chose the word 'Odol,' it was clear, because this mark had acquired an especially favorable prestige through the efforts of the complainant. . . .

"To be sure, the parties, on account of the wholly different goods put out by them are not in actual competition. *That, however, is beside the point. The complainant has created a demand for its goods, while employing thereon a word having drawing power, for only through the year-long activity of the complainant was its selling power acquired. . . . Complainant's ability to compete with other manufacturers of mouth wash will be impaired if the significance of its mark is lessened.*"⁸⁷

If eventually our courts squarely adopt the doctrine of the *Odol* case, which they may be circuitously approaching by their differentiation between coined and commonplace marks, it will not be the first time that they have gone to continental armories for the weapons with which to combat the commercial buccaneer.⁸⁸ If it be objected that the *Odol* doctrine hails from a country where

⁸⁷ (Italics ours.) See Wertheimer, *Broadened Protection of Names and Trade-Marks in the German Law* (1925) 20 T. M. BULL. (N. S.) 76; GEWERBLICHER RECHTSSCHUTZ UND URHEBERRECHT (1924) 204-05. Through the courtesy of Dr. Wertheimer and of the United States Trade Mark Association, I am informed (Dec. 28, 1926) that "the 'Odol' decision has not been reversed . . . ; moreover, German judicial and legal science have been expressing themselves more and more in favor of the principles therein expressed, so that it may be considered as authoritative." The French law would appear to be contrary to the "Odol" decision and to be based on the theory that where there is no *concurrence* there can be no *concurrence déloyale*. See POUILLET, *MARQUES DE FABRIQUE* (6th ed. 1912) 33-34, 721-22; BRAUN ET CAPITAINÉ, *LES MARQUES DE FABRIQUE* (1908) 196, 204; PICHOT, *DE LA RÉPRESSION DE LA CONCURRENCE DÉLOYALE* (1923); (1864) 10 *ANNALES DE LA PROPRIÉTÉ INDUSTRIELLE*, 141-43; (1905) 51 *ibid.* 144-46; DAVIES, *op. cit. supra* note 86, at 572, 624.

⁸⁸ *E.g.*, *Pillsbury v. Pillsbury-Washburn Flour Mills Co.*, 64 Fed. 841, 849 (C. C. A. 7th, 1894); *Pillsbury-Washburn Flour Mills Co., Ltd. v. Eagle*, 86 Fed. 608, 627, 629 (C. C. A. 7th, 1898); *Howe v. Searing*, 10 Abb. Pr. 264, 275 (N. Y. 1860); *Dixon Crucible Co. v. Guggenheim*, 2 Brewst. 321, 337 (Pa. 1869).

registration creates an "incontestable right," whereas in the United States and Great Britain registration is purely procedural and creates no rights,⁸⁹ it should be pointed out that the *Odol* decision was based, not upon a peculiar German theory of registration, but upon broad general principles of fair trade.⁹⁰ A further and equally groundless obstacle to so broad a protection of marks is that historical fear of monopoly which has possessed the courts ever since in the first trademark case in equity Lord Hardwicke refused injunctive relief on that account.⁹¹ But, as was pointed out over forty years ago by a Scotch court, "monopoly is not the thing for which the complainers contend, and which the respondents resist. On the contrary, fair trading is all for the protection of which the law is invoked."⁹² The owner of a distinctive mark or name invoking the protection of equity for it, obtains thereby no monopoly of goods or services; these may be freely sold on their own merits and under their own trade symbols. All that the plaintiff in such cases asks is the preservation of a valuable, though possibly anonymous link between him and his consumer, that has been created by his ingenuity and the merit of his wares or services. "All the rest of infinity is open to defendant."⁹³ So limited a "monopoly" as that cannot affect legitimate competition, and is of the very essence of any rational system of individual and exclusive trade symbols.⁹⁴

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⁸⁹ REPORT OF THE COMMISSIONERS TO REVISE STATUTES RELATING TO PATENTS, TRADE-MARKS, ETC. (1902) 54; Joint Hearings on S. 2679, 68th Cong. 2d Sess., at 149; Rogers, *International Trade Mark Situation* (1926) 36 YALE L. J. 235.

⁹⁰ See *supra* notes 86 and 87.

⁹¹ See *Blanchard v. Hill*, 2 Atk. 484 (1742). Cf. *Chadwick v. Covell*, 151 Mass. 190, 193-94, 23 N. E. 1068, 1069 (1890); *Shredded Wheat Co. v. Humphrey Cornell Co.*, 250 Fed. 960, 964 (C. C. A. 2d, 1918); *Crump Co. v. Lindsay*, 130 Va. 144, 150, 107 S. E. 679, 680 (1921); *Loughran v. Quaker City Chocolate Co.*, 286 Fed. 694, 697 (E. D. Pa. 1923); *Barton v. Rex-Oil Co.*, 2 F. (2d) 402, 404 (C. C. A. 3d, 1924); *Drive It Yourself Co. v. North*, 148 Md. 609, 130 Atl. 57 (1925).

⁹² *Dunnachie & Co. v. Young & Sons*, 4 Ct. Sess. Cas. (4th series) 874, 885 (1883).

⁹³ *Coca-Cola Co. v. Old Dominion Beverage Corp.*, 271 Fed. 600, 604 (C. C. A. 4th, 1921).

⁹⁴ Cf. *A. Bourjois & Co. v. Katzel*, 260 U. S. 689, 692 (1923); *Guggenheim v. Cantrell & Cochrane, Ltd.*, 10 F. (2d) 895, 896 (Ct. of App. D. C. 1926); In the Matter of Applications by *W. & G. de Cros, Ltd.*, 30 Rep. Pat. Cas. 660, 673 (1913).